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SECRET

FJ 10310/23

JAPAN AND FORMOSA

I much regret the misunderstanding which has arisen in connexion with the talks with Mr. Merchant of the State Department. In view of the telephone message which I received from Paris, and of Mr. Acheson's statement (in a telegram to Washington which I saw) that he had given to the Secretary of State the substance of a telegram from Mr. Dulles (copy of Mr. Dulles' telegram attached), I had assumed that the Secretary of State was fully informed.

Flag A

2. The draft memorandum which emerged from these preliminary talks is attached. It comes within the framework of our previous policy. Mr. Morrison told Mr. Yoshida at San Francisco that we were not seeking to interfere about Japan's recognition of China, but that it was a decision to be taken by the Government and people of Japan for themselves. In effect, (and Mr. Morrison used these words to me) we accept whatever decision Japan may make on this provided it is a free decision by a free Japan.

Flag B

Flag C (para. 7)

3. As will be seen, the draft memorandum is explicitly made subject to approval of the Secretary of State and Mr. Acheson, and indeed the intention on our side was to seek the views of Sir E. Dening and consider them before submitting the draft memorandum to the Secretary of State. These comments have now been received (Tokyo telegrams Nos. 1623 and 1628).

Flags D & E

4. We agree with Sir E. Dening's views; they are in the sense of what I said to Mr. Merchant during the talks this week, and indeed were in substance conveyed to Mr. Dulles during the negotiations for the Japanese Peace Treaty this summer. Against them we have to weigh the undoubted risk of the Treaty not being ratified by the United States Government (and therefore not coming into force at all) owing to opposition

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from pro-MacArthur elements in the Senate preventing the achievement of the necessary two-thirds majority. Such a development would be contrary to the general interests of the free world. No one will suffer more, if the Treaty is not ratified, than the Japanese. Whilst Mr. Yoshida will wish to safeguard Japanese freedom of action to decide her own relations with China, after the Treaty has come into force, he will be conscious of the need to avoid a hitch in United States ratification and also of the need to regularise Japanese relations with Formosa for certain practical purposes (trade, residence of nationals, etc.).

5. I agree with Sir E. Dening that it would be inadvisable for us to exercise any pressure on the Japanese in this matter. It is for this reason that in agreeing a formula with Mr. Merchant I went no further than to propose (point 4 in telegram No. 1334 to Tokyo) that if the Japanese Government wished meanwhile to engage in preliminary discussions with the Chinese Nationalist Government for this purpose "His Majesty's Government would have no objection".

6. When I spoke to the Secretary of State yesterday afternoon, I understood that Mr. Merchant had already left. On returning to my office, I found that this was not the case, and I was able to speak to him on the telephone before his departure. I told him that the Secretary of State had not realised, from Mr. Acheson's approach in Paris, that discussions were to take place so soon. The Secretary of State had not seen any of the papers. In view of this and of Sir E. Dening's comments it was doubtful whether the existing formula would be approved, and I emphasised that he must therefore make it clear to Mr. Acheson that the formula is entirely without commitment on the part of the Secretary of State. Mr. Merchant agreed and said that that was absolutely his understanding of the position. He added that he had just had a telegram from the State Department /approving

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approving the submission of the formula to Mr. Acheson.

7. I wonder whether, to avoid any misunderstanding, the difficulty could not be overcome by an alteration of paragraph 4 of the formula to read as follows: (amended passages are underlined):

"If, in view of the importance to Japan of <u>seeking a modus vivendi</u> with the authorities in Formosa, the Japanese Government wish, before the Peace Treaty comes into force, to engage in preliminary discussions with the Chinese Nationalist Government for this purpose, the United States Government and His Majesty's Government in the United Kingdom would have no objection to such action on the part of the Government of Japan providing that <u>any Agreement</u> arising from such preliminary discussions were not concluded until after the Multilateral Peace Treaty had come into force."

RECOMMENDATIONS

(a) That a personal message to Mr. Acheson saying that more time is needed for consideration should be sent on the lines of the attached draft telegram to Paris;

(b) That a telegram should be sent to Sir E. Dening, in reply to his comments, on the lines of the attached draft;

(c) That, if the Secretary of State approves the formula amended as proposed above, we should consult the Governments of the old Commonwealth countries and, when we have their observations, inform Mr. Acheson accordingly.

The foregoing has been agreed with China and Korea Department and Mr. Bushe-Fox, Assistant Legal Adviser.

R. H. SCOTT.
17th November, 1951.

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